DSEH004 Performance Management and Employee Engagement

Week 9 | Lecture 2 | Unit III to Unit IV bridge

Career Development and Internal Mobility

Internal labor markets, the Peter principle, and careers as lattices rather than ladders

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Commit before theory

A firm can fill a manager role with an internal candidate or an external hire with similar experience. Which is likely to perform better early on?

A

The external hire: fresh ideas

B

The internal candidate: knows the firm

C

No difference on average

D

It depends on how the internal candidate was selected

Doeringer and Piore: internal labor markets

Ports of entry

A few entry points where outsiders join

Job ladders

Movement upward through defined internal steps

Rules

Pay and promotion governed by internal rules, not only the market

Firm-specific skill

Investment in skills valued mainly inside the firm (Becker, 1964)

Evidence on internal mobility

1 Internal versus external

Bidwell (2011): external hires were paid more but performed worse initially and were more likely to exit

2 How people move

Keller (2018): open posting and manager slotting produce different hires and pay

3 Promotion trap

Benson, Li and Shue (2019): the best salespeople were promoted, then became weaker managers

Promoting on current performance rewards the past and can damage the future

Ladders and lattices

Career ladder

- Upward moves only
- Status tied to people managed
- Narrow paths, many plateaus
- Fits stable hierarchies

vs

Career lattice

- Lateral, diagonal and upward moves
- Status tied to skill and contribution
- Many paths, fewer dead ends
- Benko and Weisberg (2007): mass career customization

Who owns the career?

1 Organizational career

Firm plans progression in exchange for loyalty

2 Boundaryless career

Arthur and Rousseau (1996): moves across firms and networks

3 Protean career

Hall (2004): self-directed and values-driven

Internal mobility works best when firms offer protean employees reasons to stay

Dual ladders: solution or delusion?

The promise

- Specialists progress without managing people
- Retains deep expertise
- Respects technical identity

vs

The risk

- Allen and Katz (1986): often seen as a consolation prize
- Less influence and visibility than the managerial ladder
- Works only if pay, status and decision rights are real

A marketplace for internal moves

Teaching case (Course framing)

A Pune engineering firm launches an internal talent marketplace. In six months, 400 employees apply for 60 short projects. Managers block 30 percent of approved moves, citing delivery pressure. Promotions to team lead still go to top individual performers.

Work it through

1. Which internal labor market rules are still in force?
2. Why do managers block moves, and how would you change their incentives?
3. What does Benson et al. suggest about team lead promotions?
4. Design a lattice for engineers who do not want to manage

Exam-style question

Using internal labor market theory and evidence on internal mobility, evaluate whether firms should prefer internal promotion over external hiring. (20 marks)

What a strong answer does

- Explains internal labor markets and firm-specific human capital
- Uses Bidwell (2011) and Keller (2018) with care
- Applies Benson et al. (2019) to promotion criteria
- Proposes lattice and dual-ladder designs with conditions

Sources (1 of 2)

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